

54	Snell vs. Costco Wholesale Corporation 23-01354070	Motion to Compel Plaintiff Mark Snell’s motion to compel Defendant Costco Wholesale Corporation (“Costco”) to pay all fees and costs of the discovery referee appoint in the instant action is CONTINUED to August 21, 2026 at 10:00 a.m. in Department C16. The declaration Plaintiff submitted is insufficient to show inability to pay the referee’s fees. Without detailed information as to Plaintiff’s income, assets, and liabilities the Court cannot adjudicate the issue. The Court also needs information on the expected referee fees. Should Plaintiff desire, Plaintiff may file a supplemental declaration with additional financial information or financial statements no later than 16 court days prior to the continued hearing date. Costco may file a response to the supplemental declaration, if any, no later than 9 court days prior to the continued hearing date. Plaintiff to give notice.
55	La Paz Village Investors, LLC vs. Orange County Realtors, Inc. 26-01538551	Motion to Strike - Anti SLAPP Plaintiff and Cross-Defendant La Paz Village Investors, LLC (“LPVI”) moves to strike certain portions of the First Amended Cross-Complaint (“FAXC”) filed by Defendant and Cross-Complainant Orange County Realtors, Inc. (“OCR”). For the following reasons, the motion is GRANTED in part and DENIED in part. A. Procedural Issues: OCR’s opposition is 37 pages and exceeds the applicable page limit. (Cal Rules of Court, rule 3.1113(d) – No opening or responding memorandum may exceed 15 pages.) The Court exercises its discretion to consider the opposition. B. Evidentiary Objections: Many of the objections are directed to entire paragraphs or exhibits rather than specific objectionable statements. “It is settled law that where evidence is in part admissible, and in part inadmissible, the objectionable portion cannot be reached by a general objection to the entire [evidence], but the inadmissible portion must be specified.” (<i>People v. Harris</i> (1978) 85 Cal.App.3d 954, 957; see also <i>Walls v. Macy’s</i> (1964) 226 Cal.App.2d 29, 30.) To the extent any challenged paragraph contains both admissible and allegedly inadmissible matter, LPVI’s generalized objections fail for lack of specificity. Evidentiary Objections to the Declaration of Anthony Bucciero (ROA 259) Pars. 2-3 are OVERRULED.

		Evidentiary Objections to the Declaration of Clyde Tamanaha (ROA 260): Paragraph 2 is OVERRULED. Paragraph 3 is OVERRULED as to Tamanaha’s testimony that he received the complaint but SUSTAINED as to the assertion that the complaint is attached as Exhibit “A,” because no Exhibit A was attached to the declaration filed with the Court. Paragraph 4 is OVERRULED as to Tamanaha’s statement that he contacted the CSLB and SUSTAINED as to what he “learned” regarding the dismissal and the reason for dismissal, for lack of foundation and hearsay. Evidentiary Objections to the Declaration of Dave Stefanides (ROA 261): The objections are SUSTAINED as to paragraphs 39, 43, and 44 for lack of foundation or personal knowledge and OVERRULED as to the remaining objections. Evidentiary Objections to the Declaration of Elisabeth Barndt (ROA 262) are OVERRULED. Evidentiary Objections to the Declaration of Thomas N. Jacobson (ROA 263) are OVERRULED. C. Standard for Special Motion to Strike (Anti-SLAPP) Code of Civil Procedure section 425.16, subdivision (b) provides that: “A cause of action against a person arising from any act of that person in furtherance of the person’s right of petition or free speech under the United States or California Constitution in connection with a public issue shall be subject to a special motion to strike, unless the Court determines that the plaintiff has established that there is a probability that the plaintiff will prevail on the claim.” (Code Civ. Proc. § 425.16, subd. (b).) The court must construe this section broadly. (<i>See</i> Code Civ. Proc. § 425.16, subd. (a).) “The anti-SLAPP statute does not insulate defendants from any liability for claims arising from the protected rights of petition or speech. It only provides a procedure for weeding out, at an early stage, meritless claims arising from protected activity.” (<i>Baral v. Schnitt</i> (2016) 1 Cal.5th 376, 384.) “ ‘A court evaluates an anti-SLAPP motion in two steps. “Initially, the moving defendant bears the burden of establishing that the challenged allegations or claims ‘aris[e] from’ protected activity in which the defendant has engaged. [Citations.] If the defendant carries its burden, the plaintiff must then demonstrate its claims have at least ‘minimal merit.’ ” [Citation.]’ [Citation.] ‘ “[I]n making its determination, the court shall consider the pleadings, and supporting and opposing affidavits stating the facts upon which the liability or defense is based.” [Citation.]’ [Citation.] ‘Although not mentioned in the SLAPP Act, the Code of Civil Procedure also allows a court to consider, in lieu of an affidavit, certain written declarations.’ ” (<i>Sanchez v. Bezos</i> (2022) 80 Cal.App.5th 750, 762–763.) The second step has been described as a “ ‘ “summary-judgment-like procedure.” ’ ” (<i>Sweetwater Union High School Dist. v. Gilbane Building Co.</i> (2019) 6 Cal.5th 931, 940.) “ ‘The court does not weigh evidence or resolve conflicting factual claims. Its inquiry is limited to whether the plaintiff has stated a legally sufficient claim and made a prima facie factual showing sufficient to sustain a favorable judgment. It accepts the plaintiff’s evidence as true, and evaluates the defendant’s showing only to determine if it defeats the plaintiff’s claim as a matter of law. [Citation.] “[C]laims with the requisite minimal merit may
--	--	---

		proceed.’ ” (<i>Ibid.</i>) “[A] plaintiff seeking to demonstrate the merit of the claim ‘may not rely solely on its complaint, even if verified; instead, its proof must be made upon competent admissible evidence.’ ” (<i>Ibid.</i>) If the moving party makes the showing required in the first step, the court then determines whether the non-moving party has demonstrated a probability of prevailing on the claim. (<i>Navellier v. Sletten</i> (2002) 29 Cal.4th 82, 88.) 1) Step One: Protected Activity A claim is only subject to an anti-SLAPP motion if it “aris[es] from” protected activity. (Code Civ. Proc. § 425.16, subd. (b)(1).) Code of Civil Procedure section 425.16, subdivision (e), defines protected activity to include: (1) any written or oral statement or writing made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law, and (2) any written or oral statement or writing made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law. (Code Civ. Proc., § 425.16 subds. (e)(1) and (2).) It protects all petition-related activity before a governmental body whether or not the statements involve a public issue: “[A]ll that matters is that the First Amendment activity take place in an official proceeding or be made in connection with an issue being reviewed by an official proceeding.” (<i>Briggs v. Eden Council for Hope & Opportunity</i> (1999) 19 Cal.4th 1106, 1116.) The anti-SLAPP motion need not address what the complaint alleges is an entire cause of action, and may seek to strike only those portions which describe protected activity. (<i>Baral v. Schnitt</i> (2016) 1 Cal.5th 376, 395-396.) A motion directed only to an entire complaint may be denied if some claims involve nonprotected activity (the burden is on the moving party to identify any allegations of protected activity which support a claim of liability). (<i>Id.</i> at pp. 390-391.) But even if the motion is directed to an entire mixed cause of action (i.e., “a cause of action that rests on allegations of multiple acts, some of which constitute protected activity and some of which do not”), a defendant may identify the allegations of protected activity and how a claim is based on that activity in its evidence and briefs. (<i>Bonni v. St. Joseph Health System</i> (2021) 11 Cal.5th 995, 1010-1012—court evaluated each act alleged to be basis for part of claim, even though motion sought to strike entire cause of action.) <u>LPVI moves to strike the following portions of the FAXC:</u> FAXC ¶ 11, p. 3:3-7: “As part of invoking the attempt to use the Builder’s Remedy, La Paz proposes to build a multi-story senior living complex, that if built according to the plans proposed by La Paz, will occupy portions of the easement belonging to OCR. If La Paz is permitted to proceed with its building plans it will obstruct and prevent the use of the OCR easement and prevent access to OCR’s property.” <u>First Prong NOT Satisfied:</u> Although seeking the City’s approval for the project constitutes protected petitioning activity, the alleged wrongdoing is the proposed physical obstruction of OCR’s easement, not the act of applying for governmental approval. The protected petitioning activity therefore appears to provide context for the property dispute
--	--	---

		rather than an independent basis for relief. Further, neither the Fourth nor Fifth Cause of Action specifically identifies the land-use application as an act that disrupted OCR's contractor or member relationships. 2. FAXC ¶ 18(c), p. 5:22-26: "When OCR shared its concerns with Buchanan, the reaction of Buchanan was retaliatory: [...] Buchanan then informed the City Inspector that he did not want the construction crew to work on the wall from his side of the property, which resulted in the City issuing a 'Red Tag' on the form wall element and halting further work until La Paz authorized work on its side of the property." ○ <u>First Prong Satisfied:</u> The statement to the City inspector was made to a governmental official exercising regulatory authority in connection with a building inspection. OCR alleges that the statement caused the City to issue the red tag, halt construction, and cause OCR to incur additional expenses. Because OCR attributes the red tag and resulting disruption to the communication itself, the claim based on the communication arises from protected activity 3. FAXC ¶ 18(d), p. 6:3-8: "Buchanan filed a complaint with the State Contractor's License Board alleging OCR's contractor was committing certain wrongs under the jurisdiction of the Board. The totally frivolous Complaint was dismissed because neither Buchanan nor La Paz had a relationship with the contractor and the Board did not have jurisdiction over the matter. This caused discomfort between OCR and its contractor, which required time and energy to address." ○ <u>First Prong Satisfied:</u> Filing a complaint with the Contractors State Licensing Board ("CSLB") is a communication made to a governmental agency in connection with the agency's investigative and disciplinary functions. OCR alleges that the filing caused discomfort between OCR and its contractor, which required OCR to expend time and energy responding to it. 4. FAXC ¶ 51, p. 11:14: "complaints to the City" ○ <u>First Prong Satisfied:</u> OCR relies on the City communications as acts that allegedly disrupted its contractual relationship with its contractor. 5. FAXC ¶ 51, p. 11:15-17: "filing a frivolous complaint with the State Contractors License Board against OCR's contractor when there was no basis in fact or in law for the complaint to be filed." ○ <u>First Prong Satisfied:</u> Filing a complaint with the CSLB is a protected activity. 6. FAXC ¶ 59.d, p. 13:24-27: "La Paz, through its attorneys, threatened to file an action with the Department of Real Estate ("DRE") and to file a separate disciplinary complaint with another organization. Exhibit "F" OCR was compelled to put aside its regular workload and confirm there would be no jurisdiction of either entity to hear the threatened action." ○ <u>First Prong Satisfied in Part:</u> The threatened DRE complaint was made in connection with seriously contemplated judicial and administrative proceedings and constitutes protected petitioning activity. (See <i>Briggs v. Eden Council for Hope & Opportunity</i> (1999) 19 Cal.4th 1106, 1115 [discussions that precede the filing of a suit].) LPVI has not established, however, that the separate threatened complaint to the private disciplinary organization, identified in the evidence as the National Association of REALTORS®, concerned an official
--	--	--

		proceeding authorized by law. That portion of paragraph 59(d) is not protected activity. 7. FAXC ¶ 59e, p. 14:1-3: “Buchanan filed a Complaint with the State Contractors License Board against OCR’s contractor. This again took time away from regular business to confirm the State Contractors License Bard [sic] did not have jurisdiction over the matter.” ○ First Prong Satisfied: Filing a complaint with CSLB is a protected activity. It further supplies a basis for liability under the Fifth Cause of Action. 8. Fourth Cause of Action for Intentional Interference with Contractual Relations, which alleges that LPVI and Buchanan knew of OCR’s remodeling contract with Tama Construction and intentionally disrupted that relationship by interfering with the wall construction and water supply, making complaints to the City, and filing a CSLB complaint, resulting in delays, increased construction costs, and alleged damages exceeding \$35,000. (FAXC ¶¶ 48-55.) ○ First Prong Satisfied in Part: The Fourth Cause of Action alleges both protected conduct (City complaints and CSLB complaint) and unprotected conduct (damages to the wall bracing, interfering with the hydrant, refusing access or cooperation, and objection to the construction fence). The first prong is satisfied only as to the claims for relief based on the protected governmental communications. 9. Fifth Cause of Action for Intentional Interference with Prospective Economic Advantage, which allege that LPVI and Buchanan knew of OCR’s economic relationships with its approximately 14,000 members and intentionally disrupted those relationships through the lease termination, construction-related interference, regulatory and disciplinary threats, and the CSLB complaint, causing OCR to divert staff and resources, delay member services, and incur damages exceeding \$35,000. (FAXC ¶¶ 57-62.) ○ First Prong Satisfied in part: The Fifth Cause of Action alleges both protected conduct (conduct involving the DRE, the City, and the CSLB) and unprotected conduct (terminating of the lease, damages to the bracing, construction interference, and interruption of the hydrant). The first prong is satisfied only as to the discrete claims for relief based on the protected governmental communications. <u>The claims for relief predicated on LPVI’s threatened complaint to the DRE, its communications with the City concerning OCR’s construction, and its complaint to the CSLB arise from protected petitioning activity.</u> The City and CSLB communications were made directly to governmental bodies in connection with matters under official consideration. The threatened DRE complaint was sufficiently connected to a seriously contemplated administrative proceeding. These acts therefore fall within Code of Civil Procedure section 425.16, subdivisions (e)(1) and (e)(2). OCR argues that an anti-SLAPP motion cannot strike isolated allegations. However, an anti-SLAPP motion may attack discrete claims for relief within a cause of action. (<i>Baral v. Schnitt, supra</i> 1 Cal.5th at pp. 395-396.) OCR also argues the challenged allegations are merely incidental background. However, the FAXC alleges the communications as acts that disrupted OCR’s relationships with its contractor and members. (FAXC Pars. 51, 59-61.) The
--	--	--

		communications therefore supply alleged elements of wrongful conduct, disruption, causation, and damages; they are not merely background or evidence of motive. OCR further argues that a complaint or threatened complaint cannot constitute protected petitioning activity when the receiving agency lacks jurisdiction. The argument is unpersuasive at the first step. The relevant inquiry is the nature of the challenged activity, not whether the complaint was meritorious or whether the agency ultimately exercised jurisdiction. OCR argues the communications constituted extortion and therefore were illegal and unprotected. The illegality exception applies only where the conduct is criminal as a matter of law and the defendant concedes illegality or the evidence conclusively establishes it. (<i>City of Montebello v. Vasquez</i> (2016) 1 Cal.5th 409, 424; <i>Flatley v. Mauro</i> (2006) 39 Cal.4th 299, 320.) OCR bears that burden. (<i>Cross v. Cooper</i> (2011) 197 Cal.App.4th 357, 385.) Because LPVI does not concede illegality and the evidence does not conclusively establish criminal extortion, the exception does not apply. Accordingly, LPVI has satisfied its burden at the first step of the anti-SLAPP analysis as to the discrete claims for relief predicated on: (1) the communications with the City that allegedly resulted in the red tag; (2) the filing of the CSLB complaint; and (3) the threatened DRE complaint. However, the unprotected theories alleged within the Fourth and Fifth Causes of Action are not subject to the second-prong analysis. The burden therefore shifts to OCR to demonstrate a probability of prevailing on each of those protected claims. 2) Step Two: Probability of Prevailing on Merits “If the defendant makes the required showing, the burden shifts to the plaintiff to demonstrate the merit of the claim by establishing a probability of success.” (<i>Baral v. Schnitt</i> (2016) 1 Cal.5th 376, 384.) A plaintiff cannot meet this burden by relying on its own pleading but must present admissible evidence. (<i>Newport Harbor Offices & Marina, LLC v. Morris Cerullo World Evangelism</i> (2018) 23 Cal.App.5th 28, 49.) In order to demonstrate a probability of prevailing on the merits, plaintiff must also produce admissible evidence sufficient to overcome any privilege or defense that defendant has asserted to the claim. (<i>Flatley v. Mauro</i> (2006) 39 Cal.4th 299, 323[where “the litigation privilege may present a substantive defense plaintiff must overcome to demonstrate probability of prevailing”]; <i>Bergstein v. Stroock & Stroock & Lavan LLP</i> (2015) 236 Cal.App.4th 793, 815, 819-821 [claim barred by litigation privilege and statute of limitations]; <i>Hicks v. Richard</i> (2019) 39 Cal.App.5th 1167, 1177-1178 [claim barred by common interest privilege].) The litigation privilege, codified at Civil Code section 47, subdivision (b), provides that a “publication or broadcast” made as part of a “judicial proceeding” is privileged. This privilege is absolute in nature, applying “to all publications, irrespective of their maliciousness.” (<i>Silberg v. Anderson</i> (1990) 50 Cal.3d 205, 216.) “The usual formulation is that the privilege applies to any communication (1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that [has] some connection or logical relation to the action.” (<i>Id.</i> at p. 212.) The privilege “is not limited to statements made during a trial or other proceedings,
--	--	---

but may extend to steps taken prior thereto, or afterwards.” (*Rusheen v. Cohen* (2006) 37 Cal.4th 1048, 1057.)

Fourth Cause of Action for Interference with Business-Contractor:

Although the Fourth Cause is captioned as interference with business, it alleges an existing remodeling contract between OCR and Tama Construction. The Court therefore analyzes the protected claims as claims for intentional interference with contractual relations.

California recognizes that “the exchange of promises which cements an economic relationship as a contract is worthy of protection from a stranger to the contract,” and one who intentionally interferes with an existing contractual relationship is liable in tort for resulting damages. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 55-56.)

The elements of a cause of action for intentional interference with contractual relations are: (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of the contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the relationship; and (5) resulting damages. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 55.)

There must be a breach of plaintiff's contract with a third party or disruption of the contractual relationship between the parties. (*Reeves v. Hanlon* (2004) 33 Cal.4th 1140, 1148.) The claim also lies where defendant's conduct makes performance of the contract more expensive or burdensome for the plaintiff (e.g., interfering with plaintiff's sources of labor or materials). (*Pacific Gas & Elec. Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1129; *Golden West Baseball Co. v. City of Anaheim* (1994) 25 Cal.App.4th 11, 51.)

- **Communications with the City**

OCR alleges that Buchanan's statement to the City inspector resulted in a red tag, halted construction, and caused additional construction expenses. (FAXC ¶¶ 18(c), 51.)

OCR, however, has not made a prima facie showing that the protected communication was intended to disrupt the Tama contract, caused an actual disruption, or resulted in damages. Although the evidence supports the existence of the remodeling contract and LPVI's knowledge of the project, the declarations characterize LPVI's objective as pressuring OCR to relinquish its easement rights. (Stefanides Decl., ¶ 49; Barndt Decl., ¶¶ 30–31.) That evidence may support an alleged retaliatory motive, but it does not show that the City communication was designed to disrupt OCR's contractual relationship with Tama.

Nor does any declarant state from personal knowledge that the City communication caused the red tag or caused Tama to stop or delay work, modify its contractual obligations, or charge OCR additional sums. The evidence instead attributes the additional construction expense to the cutting of the wall bracing and LPVI's denial of further access. (Stefanides Decl., ¶¶ 30–32; Barndt Decl., ¶ 30(b).)

		Moreover, the City communication appears to be privileged under Civil Code section 47, subdivision (b), because it was made to a City inspector in connection with the City’s inspection and red-tag process. Accordingly, OCR has not demonstrated minimal merit as to the City-based claim against LPVI. • <u>Filing of the CSLB Complaint</u> OCR alleges that the CSLB complaint caused discomfort in its relationship with Tama and contributed to disruption, delay, and increased costs. (FAXC ¶¶ 18(d), 51, 53.) The evidence does not support that theory. Tamanaha states that he received the complaint and contacted the CSLB, but he does not state that Tama stopped or delayed work, threatened termination, modified its contractual obligations, or charged OCR additional sums. (Tamanaha Decl., ¶¶ 2–4.) Stefanides and Barndt characterize the complaint as an effort to pressure OCR into relinquishing its easement rights, but those perceptions do not establish that LPVI intended to disrupt the Tama contract or knew that contractual disruption was certain or substantially certain to result. (Stefanides Decl., ¶ 45; Barndt Decl., ¶ 31.) The additional construction expense is attributed to the cut bracing and denial of access, not the CSLB complaint. (Stefanides Decl., ¶¶ 30–32; Barndt Decl., ¶ 30(b).) OCR therefore has not shown that the complaint disrupted the Tama contract or caused damages. Moreover, the CSLB complaint appears to be privileged under Civil Code section 47, subdivision (b), because it was submitted in connection with the Board’s official investigative and disciplinary functions. OCR therefore has not demonstrated minimal merit as to the CSLB-based claim against LPVI. • <u>Conclusion as to the Fourth Cause of Action</u> OCR has not demonstrated minimal merit as to the claims for relief against LPVI predicated on the City communication or the CSLB complaint. The motion therefore should be granted as to those claims. <i>The Fourth Cause of Action otherwise remains against LPVI to the extent it rests on unprotected conduct, including the alleged cutting of the bracing, denial of access, and physical interference with the water supply. Because Buchanan did not move or join in LPVI’s motion, this ruling does not adjudicate any claim against him, and the shared allegations remain operative against him.</i> <u>Fifth Cause of Action for Interference with Prospective Economic Advantage:</u> The tort of intentional interference with prospective economic advantage protects two categories of economic relationships: (1) a prospective business relationship that has not yet become contractual, but carries a reasonable probability of future economic benefit; and (2) an existing contract that is terminable at will. (<i>Buckaloo v. Johnson</i> (1975) 14 Cal.3d 815, 822–823, disapproved on another
--	--	---

		ground in <i>Della Penna v. Toyota Motor Sales, U.S.A., Inc.</i> (1995) 11 Cal.4th 376, 393, fn. 5; <i>Ixchel Pharma, LLC v. Biogen, Inc.</i> (2020) 9 Cal.5th 1130, 1145–1148.) To establish intentional interference with prospective economic advantage, the plaintiff must prove: (1) an existing economic relationship between the plaintiff and a third party containing a probability of future economic benefit to the plaintiff; (2) the defendant’s knowledge of that relationship; (3) intentional acts by the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the defendant’s acts. (<i>Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc.</i> (2017) 2 Cal.5th 505, 512; <i>Winchester Mystery House, LLC v. Global Asylum, Inc.</i> (2012) 210 Cal.App.4th 579, 596.) The acts by which defendant interfered must be “independently wrongful”—i.e., wrongful by some measure beyond the fact of the interference itself. (<i>Reeves v. Hanlon</i> (2004) 33 Cal.4th 1140, 1152, fn. 6; <i>Della Penna v. Toyota Motor Sales, U.S.A., Inc.</i> (1995) 11 Cal.4th 376, 393 [disapproving earlier cases allowing evil, but lawful, motive to suffice]; see <i>San Jose Const., Inc. v. S.B.C.C., Inc.</i> (2007) 155 Cal.App.4th 1528, 1544–1545 [act must be wrongful by some legal measure, not merely the product of improper but lawful purpose or motive].) OCR alleges economic relationships with more than 14,000 members who pay dues in exchange for educational, advocacy, lockbox, and Multiple Listing Service services. (FAXC ¶ 57.) OCR further alleges that LPVI knew of OCR’s operations and obligations to its members. (FAXC ¶ 58.) Even assuming OCR has established qualifying economic relationships and LPVI’s knowledge of them, OCR must show that each protected communication actually disrupted an identifiable relationship and caused resulting economic harm. • <u>Communications with the City</u> OCR alleges that LPVI, through Buchanan, caused the City to red-tag the construction area, resulting in increased construction expense and lost time serving OCR’s members. (FAXC ¶ 59(b).) OCR also alleges generally that the challenged acts diverted staff and resources, delayed projects, and caused damages exceeding \$35,000. (FAXC ¶¶ 60–61.) The declarations, however, attribute the additional construction expense to the cutting of the wall bracing and LPVI’s denial of access, not to the City communication. (Stefanides Decl., ¶¶ 30–32; Barndt Decl., ¶ 30(b).) Further, neither declarant identifies any member who altered its relationship with OCR, withheld dues, declined to renew, or otherwise deprived OCR of a probable economic benefit because of the City communication. (Stefanides Decl., ¶¶ 30–32, 49–50; Barndt Decl., ¶¶ 30–33.) The generalized diversion of OCR’s staff and resources reflects an internal operational effect, not actual disruption of a third-party economic relationship. Moreover, the City communication appears to be privileged under Civil Code section 47, subdivision (b), and therefore cannot support the independently wrongful-act element. Accordingly, OCR has not demonstrated minimal merit as to the City-based claim against LPVI. • <u>Filing of the CSLB Complaint</u>
--	--	---

		OCR alleges that the CSLB complaint took time away from its regular business and contributed to the diversion of staff, delayed projects, and damages. (FAXC ¶¶ 59(e), 60–61.) Tamanaha states that he received the complaint and contacted the CSLB, but he does not identify any effect on OCR’s relationships with its members. (Tamanaha Decl., ¶¶ 2–4.) Stefanides and Barndt state that the complaint was filed and characterize it as an effort to pressure OCR into relinquishing its easement, but neither identifies a member relationship that was altered or any resulting loss of dues or other economic benefit. (See e.g., Stefanides Decl., ¶ 45, 49; Barndt Decl., ¶¶ 30(g), 31–32.) Thus, OCR has not shown that the CSLB complaint actually disrupted an identifiable member relationship or caused economic harm. The complaint also appears to be privileged under Civil Code section 47, subdivision (b), and therefore cannot supply the independently wrongful act necessary to support the claim. OCR has not demonstrated minimal merit as to the CSLB-based claim against LPVI. • <u>Threatened DRE Complaint</u> OCR alleges that LPVI’s attorneys threatened a DRE proceeding and a separate complaint to a private disciplinary organization, requiring OCR to divert its regular workload to investigate whether either entity had jurisdiction. (FAXC ¶ 59(d).) Stefanides and Barndt state that they viewed the threatened complaints as attempts to pressure OCR into relinquishing its easement rights. (Stefanides Decl., ¶¶ 41–42; Barndt Decl., ¶¶ 30(e), 31.) Those statements may support OCR’s contention regarding LPVI’s alleged motive, but they do not establish that any member received the communication, changed its relationship with OCR, withheld dues, or declined to renew its membership. Nor do they identify any economic loss caused by the DRE threat. Further, the threatened DRE complaint also appears to be privileged as a prelitigation communication concerning contemplated judicial and administrative relief. OCR’s assertion that the threat violated an attorney professional-conduct rule does not, without more, conclusively establish criminal extortion or defeat the privilege. LPVI does not concede illegality, and the evidence does not conclusively establish criminal extortion as a matter of law. Accordingly, OCR has not demonstrated minimal merit as to the DRE-based claim against LPVI. • <u>Conclusion as to the Fifth Cause of Action</u> OCR has not demonstrated minimal merit as to the claims for relief against LPVI predicated on the City communication, CSLB complaint, or threatened DRE complaint. OCR has not shown that any of those communications actually disrupted an identifiable member relationship or caused resulting economic harm. The communications also appear privileged and therefore cannot supply the independently wrongful-act element. The motion is therefore granted as to those claims against LPVI.
--	--	--

BASED ON THE ABOVE, the motion is **GRANTED IN PART** as to the discrete claims for relief against LPVI predicated on:

- 1) The communication with the City inspector and resulting red tag alleged in paragraphs 18(c), 51, and 59(b);
- 2) The CSLB complaint alleged in paragraphs 18(d), 51, and 59(e); and
- 3) The threatened DRE complaint alleged in paragraph 59(d).

The motion is DENIED as to:

- 1) Paragraph 11, because the alleged injury arises from the proposed physical obstruction of OCR's easement, not LPVI's application for governmental approval;
- 2) The threatened complaint to the unidentified private disciplinary organization in paragraph 59(d), because LPVI did not establish that it concerned an official proceeding authorized by law;
- 3) The request to strike the Fourth Cause of Action in its entirety; and
- 4) The request to strike the Fifth Cause of Action in its entirety.

D. Request for Attorney Fees

Code of Civil Procedure section 425.16, subdivision (c)(1), provides that a prevailing defendant on an anti-SLAPP motion "shall be entitled" to recover attorney's fees and costs. The award is mandatory when the defendant successfully strikes a claim arising from protected activity. (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1131.) A defendant who partially prevails is generally entitled to fees unless the relief obtained is so insignificant that it provides no practical benefit. (*Mann v. Quality Old Time Service, Inc.* (2006) 139 Cal.App.4th 328, 339–340.)

LPVI obtained a practical benefit by eliminating the claims against it based on the City, CSLB, and DRE communications. LPVI is therefore the prevailing defendant.

LPVI's request for attorney fees and costs is **GRANTED** as to entitlement. The amount shall be determined by separately noticed motion and limited to the reasonable fees and costs incurred by LPVI in obtaining relief on the successful portions of the motion, with an appropriate adjustment for its partial success.

OCR's request for attorney's fees is **DENIED** because LPVI's motion was partially successful and was not frivolous or solely intended to cause unnecessary delay.

LPVI to give notice.

56	Wild Rivers Waterpark Irvine SPE, LLC vs. Whitewater West Industries LTD 23-01353136	Motion for Attorney Fees The Motion for Attorneys’ Fees brought by Wild Rivers Waterpark Irvine SPE, LLC is DENIED. “The owner of property or the owner of any interest in property subject to a claim of lien may petition the court for an order to release the property from the claim of lien if the claimant has not commenced an action to enforce the lien within the time provided in Section 8460.” (Civil Code, § 8480, subd. (a).) “An owner of property may not petition the court for a release order under this article unless at least 10 days before filing the petition the owner gives the claimant notice demanding that the claimant execute and record a release of the claim of lien.” (Civil Code, § 8482.) Civil Code section 8484 outlines the required contents, for a “petition for release order,” while Civil Code section 8486 outlines the timing requirements for a hearing thereon. Finally, Civil Code section 8488 states, in relevant part: “The prevailing party is entitled to reasonable attorney’s fees.” (Civil Code, § 8488, subd. (c).) The above provisions have been interpreted as limiting the recovery of statutory fees, to petitions brought specifically under Civil Code sections 8480 and 8482: “[T]he Bankruptcy Court disagrees with Plaintiff that the attorneys’ fees provision of California Civil Code § 8488(c) generally provides for attorneys’ fees in any proceeding to remove a mechanic’s lien; rather the attorneys’ fee provision relates only to a proceeding on a petition for release of the lien under California Civil Code § 8482, which as Defendants argue was not pleaded in Plaintiff’s complaint or brought in this adversary proceeding.” (<i>In re People Who Care Youth Center, Inc.</i> (Bankr. C.D. Cal. 2023) 2023 WL 6393729, at p. 40.) The above interpretation is in line with the plain statutory language reviewed above, as Civil Code section 8488 expressly refers to a “prevailing party,” following a hearing on a petition for release. Additionally, given this provision immediately follows provisions which outline the requirements for a petition for release, where “the claimant has not commenced an action to enforce the lien within the time provided in Section 8460,” (Civil Code, § 8480, subd. (a)), it is reasonable to interpret the attorneys’ fees provision as being similarly limited. Here, while Wild Rivers Waterpark Irvine SPE, LLC prevailed on a motion to expunge mechanic’s lien, it neither moved nor prevailed, on the basis “the claimant had not commenced an action to enforce the lien within the time provided in section 8460.” (Civil Code, § 8480, subd. (a).) The supplemental briefing offered by Wild Rivers Waterpark Irvine SPE, LLC, does not dispute the above. In addressing Civil Code section 8488, Wild Rivers argues, only, that the provision is reciprocal. (See Supplemental Brief: 2:26-3:8 [ROA No. 112].) While it is true that Civil Code section 8488 provides for fees to the “prevailing party,” it nonetheless remains that recovery pursuant to this provision is limited to “a proceeding on a petition for release of the lien under California Civil Code § 8482....” (<i>In re People Who Care Youth Center, Inc.</i> (Bankr. C.D. Cal. 2023) 2023 WL 6393729, at p. 40.) Based on the above, the Motion for Attorneys’ Fees premised on Civil Code section 8488, subdivision (c) is DENIED.
-----------	--	---